Corporate Objectives

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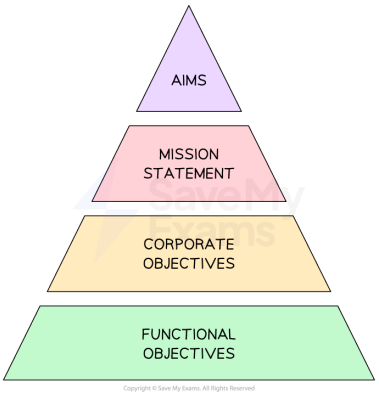
Developing corporate objectives

- Aims and objectives serve as a guide for a business's overall strategy and direction, helping to **focus efforts and resources** towards a common purpose
- There is a hierarchy of objectives that cascades downwards

The hierarchy of objectives



The hierarchy of objectives shows how aims link to the mission statement and objectives

- A business's **mission** flows from its overall **aim** and is usually expressed in **inspirational terms**
- From this mission, **corporate objectives** and **functional objectives** that detail the **achievable goals** a business wants to meet over a **specified period** are developed

Components of the hierarchy of objectives

Component	Explanation	Example
Aim	• What the business is looking to **achieve in the long term** • Often expressed as an **overall vision**	**Macmillan Cancer Support**: "To do whatever it takes to support

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Mission statement	• An **expression of a business's overall aim** as well as its **core values** and **context** • Informs the development of corporate and functional objectives • Often expressed in **inspirational** terms to provide **direction** and a **common purpose** for employees	**Age UK**: "Making a positive difference by putting older people, and the people around them, at the heart of all we do; working with partner organisations to improve the quality of later life and provide effective, timely support for those who need it the most"
Corporate objective	• The **specific performance goals** set by senior management for the business to achieve over time • **Derived from the firm's overall aim** and mission statement • Corporate objectives may focus on achieving specified levels of **market share**, profit, sales growth or new product/market development	**Mind UK**: "Provide 3m employees in low-paid sectors with workplace wellbeing support"
Functional objective	• The **day-to-day goals** of functions or **departments** within the business, **derived from corporate objectives** • Functional objectives must be **carefully aligned across departments** so that all parts of the business are **working towards the shared goal**	**Scope UK**: "Working with the Government and disabled people, we will create a Passenger Charter, an information resource to help disabled people find the information they need when using public transport"

Help me understand

- **S**pecific
- **M**easurable
- **A**greed
- **R**ealistic
- **T**ime-bound

An example of a SMART sales objective

INCREASE THE VOLUME OF ANNUAL SUBSCRIPTION RENEWALS BY 12% DURING Q3 2023

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This objective is specific, measurable and time-related

Critical appraisal of mission statements and corporate aims

- Businesses need to critically assess whether corporate aims and mission statements continue to reflect their current **corporate vision**
  - The content and expression of business aims will likely **change over time** to reflect changing social attitudes and **norms**
    - For example, Apple's new mission statement — "to make the best products on earth, and to leave the world better than we found it" — emphasises its commitment to sustainability, a key social trend
  - Mission statements are sometimes criticised as being little more than an exercise in **public relations** that does little to inform objective-setting or promote a common organisational goal
    - For example, in 2013, KFC's mission was "To sell food in a fast, friendly environment that appeals to price conscious, **health-minded** consumers" — but in the same year, it launched a burger that replaced the bread bun with extra layers of deep-fried chicken
- Businesses should decide whether **changes to the corporate aim or mission statement** need to be made by considering whether:
  - The short- to medium-term **strategies adopted by the business support the aim** and mission
  - The **aim and objectives are realistic and achievable** in the current trading environment
  - The mission statement message communicates the aim of the business effectively to **stakeholders**
- **Revising** the business aim and revisiting the mission statement should be seen as a **natural step** for growing businesses
  - It is a chance to **involve a variety of stakeholders**, including workers and suppliers, in determining the direction of the business

media, can generate **positive publicity**

Examiner Tips and Tricks

When assessing the nature or effectiveness of the objectives for a specific business based on a case study provided, you should consider the following:

- What is the purpose of the objectives?
- Who is the intended audience?
- How does the corporate strategy followed by the business compare to the mission in reality?
- Who is the mission statement aimed at, and how does the strategy affect different groups?

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